

ORGANIZING FOR THE FUTURE

BECOMING A FUTURE-READY COMPANY



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THE PRESSURE TO CHANGE

We need to admit that currently our organization is too slow to react to Market Changes.

The companies were organized for a world that is now slowly disappearing - an era of standardization and predictability that's being overwritten by four big trends: a combination of heightened connectivity, lower transaction costs, unprecedented automation, and shifting demographics.

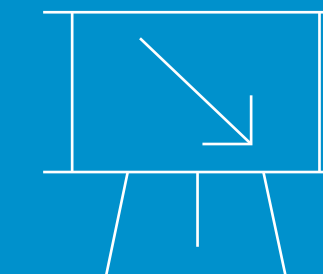
These four inter-related trends are poised to unwind the old rules of management

More Connectivity



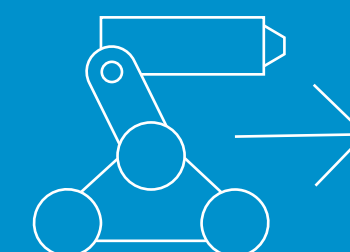
- Rising interconnectivity speeds disruption, upending the principles for disruptive innovation
- Free-moving information bypasses and challenges existing hierarchies

Lower Transaction Costs



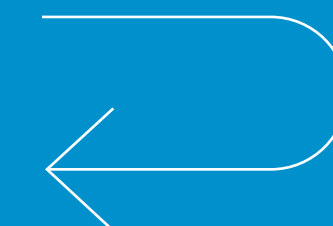
- Barriers to entry and cost to achieve scales are evaporating
- Internal bureaucracy presents more friction than external interactions and free-market transactions

Unprecedented Automation



- Increased automation undercuts the mechanistic thinking upon which organizations were created
- 200 years of management thinking on control and predictability becomes obsolete

Fundamental Societal Shifts



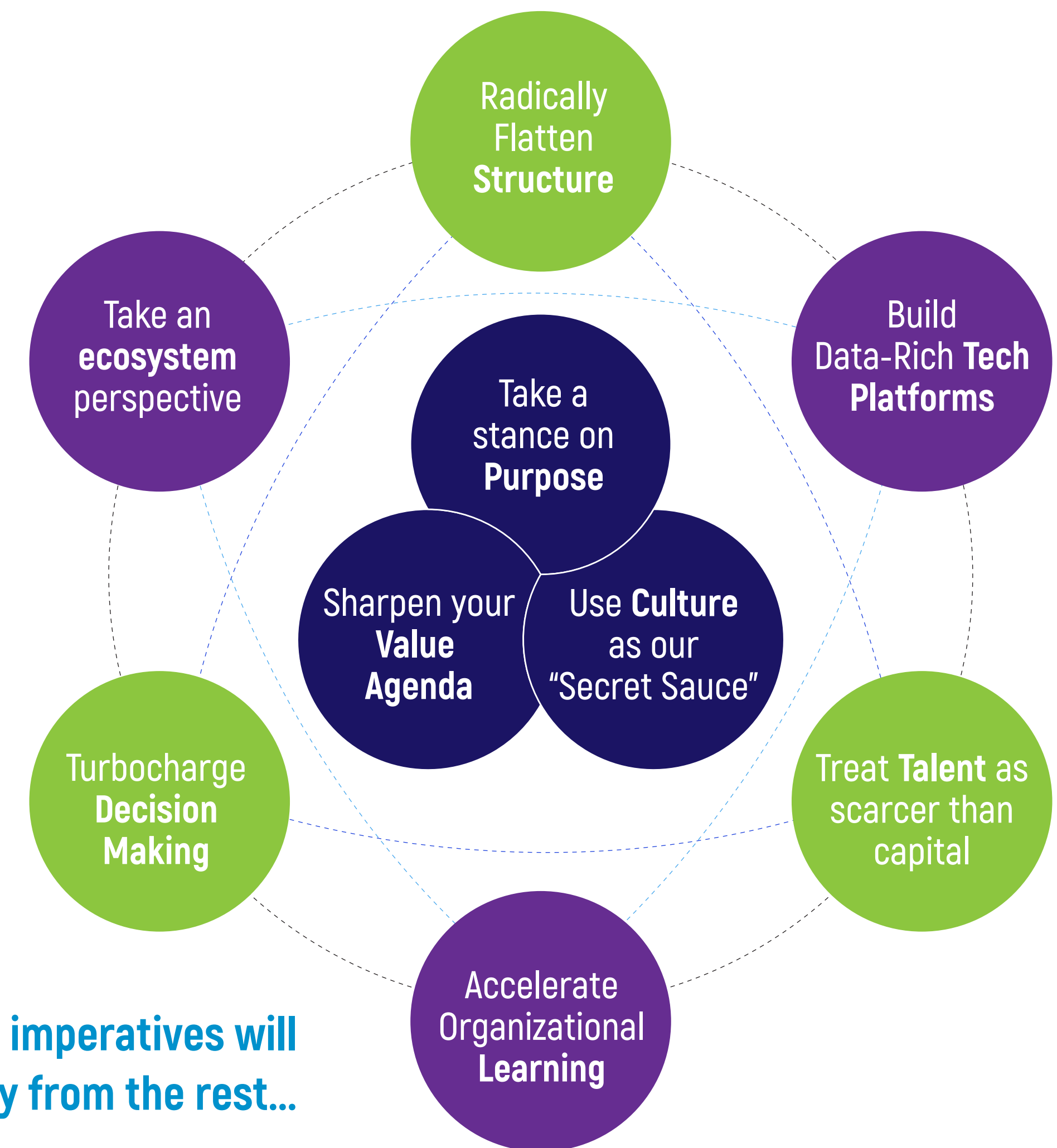
- Gen Z and beyond will have new, fundamentally different career aspirations
- Expect more variety and learning, more leadership and promotion opportunities, more social impact, and more career mobility

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To better organize for a future, we should embrace nine imperatives that collectively explain the following

"WHO WE ARE" as an organization	[Strengthen Identity]
"HOW WE OPERATE"	[Prioritize Speed]
"HOW WE GROW"	[Build for Scale]



These Nine organizational imperatives will separate future-ready company from the rest...

IMPERATIVE

01

Take a stance on purpose

Future-ready organizations will clearly articulate what they stand for, why they exist, and will use purpose as the glue to connect employees and other stakeholders in ways that inform their business choices.

The purpose embodies everything the organization stands for from a historical, emotional, social, and practical point of view. Employees aspire further when their energies are channeled to purpose.

When centered at the heart of work, purpose helps people navigate uncertainty, inspires commitment, and even reveals untapped market potential.

IMPERATIVE

02

Sharpen your value agenda

While all companies have a strategy for how they create value, few can show precisely how the organization will achieve it.

Future-ready companies, create their value agenda that segregates company's ambitions and targets into tangible organizational elements such as business units, regions, product lines, and even key capabilities. Armed with such a depiction, these companies can articulate where value is created in the organization, what sets the company apart from the pack, and even what might propel its success in the future.

The key is to use the value agenda to focus the organization's efforts and instill a sense of what really matters in every employee. When organizations can leverage this clarity - knowing exactly what differentiates them from everyone else - the results are powerful and hard to replicate.

The power of a clear value agenda isn't only that it helps a company better achieve its strategic priorities today but also that it gives the organization a line of sight into how to shift resources as priorities change.

Top-performing companies, reallocate their people aggressively, dynamically, and continuously against their core priorities, recognizing that this activity is both an economic engine and long-term competitive strength.

IMPERATIVE

03

Use culture as your 'secret sauce'

Companies that thrive in the next normal will distinguish themselves by their cultures – the how of any organization. Culture is that unique set of behaviors, actions, and experiences that collectively describes “how we run things.”

Among the most successful companies, culture forms the backbone of organizational health and fuels sustained outperformance over time: Study shows companies with strong cultures achieve up to three-times higher total returns to shareholders than companies without them.

Telltale signs of a strong culture of performance include leaders who consistently carry out the behaviors the company aspires to, work practices that stand out and feel fresh to outsiders, and innovative approaches to important moments—everything from employee onboarding to how meetings are run.

To create a robust performance culture need to start by cooking up their organization’s own unique “secret sauce.” The main ingredient: specific, observable behaviors that employees at all levels of the company adhere to.

Broad themes won’t cut it. Instead, behaviors must be made an integral part of core business activities and specific work tasks, especially for the moments that matter.

Culture can’t just exist in slogans painted on the walls or in catchy email signature lines. Defined principles and ways of working are critical to creating a cohesive, long-lasting organization. When leaders choose - and build - the kind of culture they want the organization to embody, they create a virtuous cycle, attracting the right talent that will thrive in their culture, unlock their value agenda, and “turbo-charge” performance.

IMPERATIVE

04

Radically flatten structure

As the business environment has become more complex and interconnected in recent years, many companies have mirrored these changes in their organizational structures, creating an ever-more convoluted matrix. Unwittingly, they are betting on organizational complexity to solve market complexity. **This is a losing bet.**

Future-ready organizations, by contrast, structure themselves in ways that make them fitter, flatter, faster, and far better at unlocking considerable value. Their goal isn't to eradicate hierarchy so much as make it less important as an organizing mechanism.

They flatten the organization and adopt the simplest P&L structure possible, reinforcing business objectives with clear, strong performance management and other mechanisms.

The vision of the future suggest that the organizational structure no longer focuses on boxes and lines. Instead, it centers on connectivity on who works on what with whom. Future-ready organizations require models that are designed, nurtured, and grown around people and activities. Furthermore, advances in digital technology mean that bosses in the years ahead can become true coaches and enablers not micromanagers across larger spans of control. When companies have a strong identity informing their priorities and ways of working, responsibilities and clear decision rights can empower frontline staff to make decisions in real time.

Finally, rethinking structure means rethinking teams. Many companies have established networks of teams that are empowered to operate outside current structures, take over some critical operations, and deal with rapidly evolving situations.

Turbocharge decision making

A recent McKinsey survey found that organizations that make decisions quickly are twice as likely as slow decision makers to make high-quality decisions. Organizations that consistently decide fast and well are, in turn, more likely to outperform.

Achieving quality and speed in tandem takes work. It requires a system that properly allocates decisions to the right executives, teams, individuals, or even algorithms.

The top team needs to focus its time and energy on the core business decisions that only it can make, such as those initiatives central to the value agenda. Other leaders, meanwhile, should spend more time deciding on resource and talent allocation for those initiatives. Top of mind for everyone should be who is working on what. Through managing the backlog of resources from the top of the house, organizations will speed up and increase the quality of decisions.

Leading organizations also rightsize the number of decision makers and critical voices involved in a decision. Each participant should be purposefully included, with a clear eye to removing decision “spectators” or others without a critical role in the process. Who has a vote? Who has a voice? Notably, clarity on this does not necessarily mean limiting the number of people involved or removing diverse perspectives. It just means ensuring that there is a strong reason for each participant to be present.

The COVID-19 crisis has forced companies to “turbocharge” decision making out of necessity. Companies do have the muscles to accelerate decision making. Now they must strengthen and flex those muscles, embedding what they’re learning from the crisis into redesigned decision-making processes for the future.

IMPERATIVE

06

Treat talent as scarcer than capital

The world of work is changing fast. Some jobs are being replaced by automation while others, facilitated by technology platforms, are becoming more globally dispersed. These changes are leading many companies to rethink their talent strategy.

Top companies will anchor the effort to a bedrock principle: our talent is our scarcest resource. Then they'll zero in on three core questions: What talent do we need? How can we attract it? And how can we manage talent most effectively to deliver on our value agenda?

Finally, future-ready companies see that talent ecosystems often allow for the best management and allocation of top talent. In some cases, companies rely on tech-enabled marketplaces to better match skills to projects. Such talent ecosystems can even reach beyond traditional corporate boundaries.

IMPERATIVE

07

Adopt an ecosystem view

Partnerships should be cultivated for the long term to better develop the antifragility that helps partners weather shocks.

Future-proof organizations will recognize that traditional understandings about what an organization is and where its boundaries lie are being upended. The old thinking was all about gaining leverage and controlling the supply chain. Increasingly, however, value is created through networks where partners share data, and skills; where communities of businesses create value and antifragility together.

Future-ready organizations view partners as extensions of themselves. These relationships feature porous boundaries and high levels of trust and mutual dependence to share value and let each partner focus on what it does best.

IMPERATIVE

08

Build data-rich tech platforms

Future-proof companies take data seriously. For them, data isn't simply about reporting what is happening in the business or answering a business question. Data is the business.

To make the most of data, leading organizations must tackle a complex set of tasks. They must create compelling approaches to data governance, redesign processes as modular applications, tap the benefits of scalable cloud-based technology, and support all this through variable-cost technology budgets that are reallocated dynamically.

By seizing upon data's ability to connect and scale, these companies will be able to develop new products, services, and even businesses in fast release-and-upgrade cycles.

Accelerate learning as an organization

Companies need to get learning right to fuel their talent engine and create an empowered workforce that's fluent in the art of "fail fast, learn, repeat."

High-performing companies promote a mindset of continuous learning that encourages and supports people to adapt and reinvent themselves to meet shifting needs. Getting to this level requires instilling a growth mindset, curiosity, and an openness to experimentation and failure.

Experiment-and-learn environments encourage accelerated personal growth and improvement for employees. They can fuel beneficial innovation, as evidenced by Google's famous "20 percent time" policy that encourages employees to work on their own ideas for Google 20 percent of the time (this approach contributed to the creation of Gmail and Google Maps, among others). 20 The real value in such programs is that they signal to the organization that learning, experimentation, and innovation are part of everyone's day job, not something that gets done by a specialized group.

Since traditional educational institutions alone cannot deliver the skills companies will need, organizations need to look inward. Rather than create monolithic centralized programs that people attend before returning to their day job, forward-looking companies will develop learning journeys that have a mix of core and individualized content, delivered when people need it and at requisite scale.

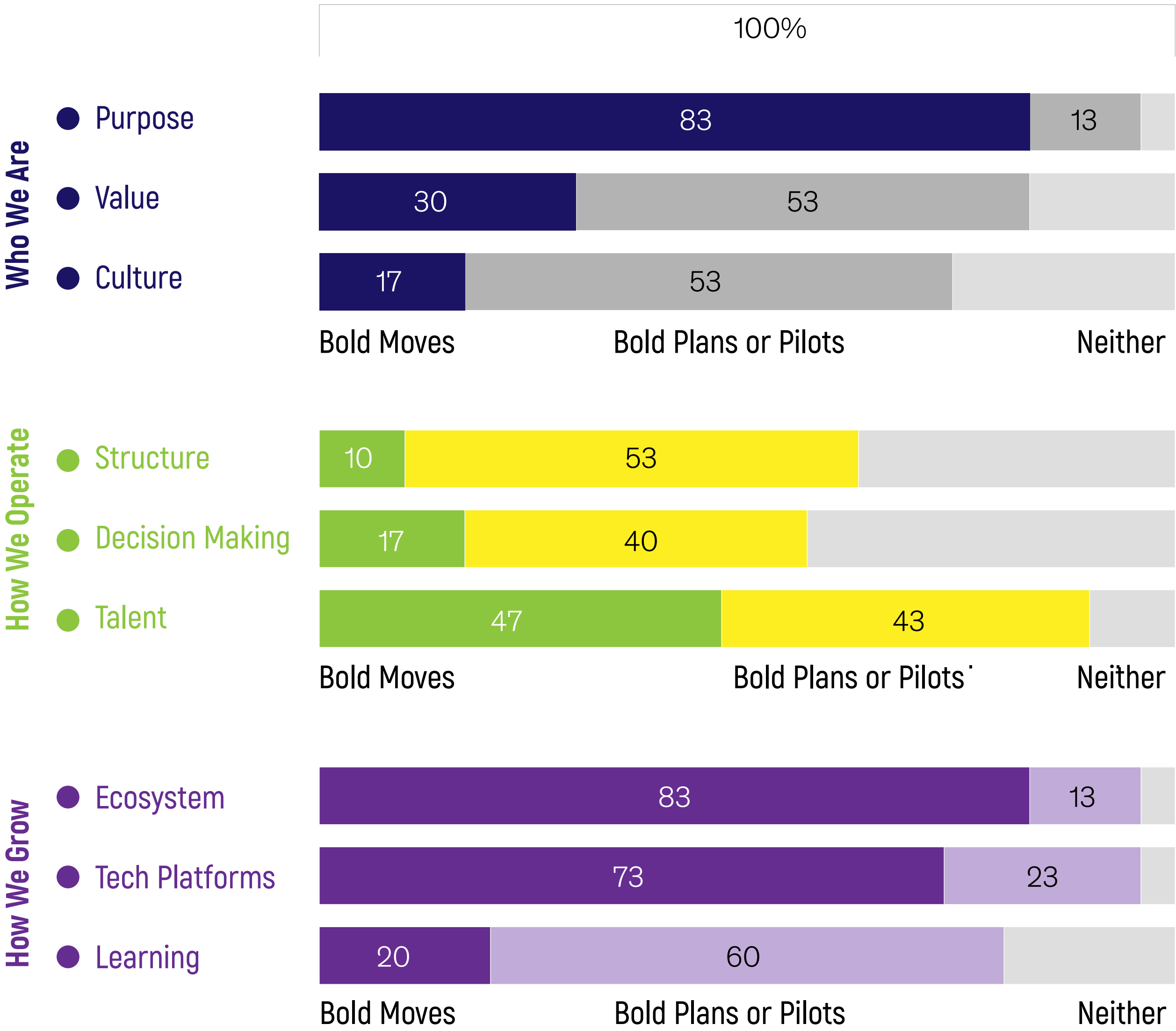
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RE-INVENTION NEEDED

Following infographic shows the degree to which 30 top US companies are already making or considering bold moves across the imperatives.

These companies - all among the top three in their industry as measured by total economic profit captured between 2015 and 2019 - represent the vanguard of an increasingly winner-takes-all world...

Share of 30 top companies making, and considering bold moves against the nine organizational imperitives



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INTO THE FUTURE

We as an organization shall move from a mindset of coping to one of competing...

The best companies will seize the unique unfreezing opportunity before them to imagine and create new systems and modes of organization that are more flexible, integrated, resilient, and ultimately, more human.

These organizations will view themselves as interconnected systems that seek to constantly experiment, fail, learn, grow and start the process anew when the world invariably changes again.